

What Social Security Is - The Foundation Track

Chapter F3.1 — From Zero: Why the Market Cannot Supply It, Bismarck to Beveridge, and the ILO's Nine Contingencies Mapped onto India

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NOTE · HOW TO USE THIS DOCUMENT

The opening chapter of Module 3, and the first that is about the job itself rather than its legal background. It covers what social security is and the five reasons a free market under-supplies it; the two founding models, Bismarck's contributory social insurance of 1883 to 1889 and the Beveridge Report of 1942 with its five giants; ILO Convention 102 of 1952 and its NINE CONTINGENCIES, each mapped to the Indian statute answering it, including the one contingency India does not answer at all; the four architectures of provision and why gratuity has no fund; defined benefit against defined contribution, with the Employees' Pension Scheme formula worked twice; the promotional, preventive and protective classification; and the coverage gap created by an unorganised workforce of roughly ninety per cent. It closes on the chain from the Karachi Resolution of 1931 to your own desk. Study time 3 hours.

This is the FOUNDATION layer. Historical dates and statutory years are settled. Coverage percentages and India's ratification status for particular ILO Conventions are contested or change, and every such item is marked CONFIRM rather than asserted.

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0. Why This Chapter Comes Before the Provident Fund

This chapter exists so that the machinery of Module 3 makes sense rather than having to be memorised.

WHY THIS EXISTS · THE MISTAKE ALMOST EVERY CANDIDATE MAKES WITH MODULE 3

The obvious way to prepare Module 3 is to open the EPF & MP Act, 1952 and start learning numbers - twenty employees, twelve per cent, fifteen thousand rupees. **That fails for two reasons.**

It does not survive the paper. The 2023 questions in this territory were not mainly about the Provident Fund. They asked the **time limit under the Employees' Compensation Act**, the **minimum employees for an establishment, who determines disablement** - and that answer, a **Medical Board**, is obvious only to somebody who sees that disablement is a medical fact assessed for an insurance purpose, not a legal fact tried in a court.

It does not survive the job. You will exercise a **quasi-judicial power** under Section 7A to determine what an employer owes. An officer who knows the rate but not the reason cannot write a reasoned order, and Article 14 requires one of you.

So the module's order is deliberate: the problem (this chapter), the enabling Act (F3.2), its schemes (F3.3), your own power (F3.4), then the parallel statutes.

PYQ CONNECTION · WHAT THIS TERRITORY IS WORTH

Social security supplied 6 of 120 questions in 2023 as a standalone block, inside a combined **Labour Laws plus IR plus Social Security block of 20** - the largest knowledge block in the paper.

1 **2015** - labour and social security together, about **10**

2 **2023** - **20**

3 **2025** - reported at **19 to 20**

The block doubled and then held, while Economy collapsed 19 to 4 and Quant fell 29 to 15. Treat **20 marks as the floor** for Modules 2 and 3 combined, and expect the interview to come almost entirely from here.

STUDY SESSION · CHAPTER F3.1 - THE FIVE SESSIONS

1 **Session 1** - What social security is, and the five market failures (Section 1)

2 **Session 2** - Bismarck, Beveridge, the ILO, and India's chronology (Section 2)

3 **Session 3 - Convention 102 and the nine contingencies**, mapped onto India (Section 3)

4 **Session 4** - The four architectures, and **DB against DC** (Section 4)

5 **Session 5** - The coverage gap, and the chain to your desk (Section 5)

Then **42 graded questions**. Budget **five sessions**, about **two days**.

1. Session 1 - What It Is, and Why Markets Under-Supply It ★★★★★

START FROM ZERO · THE IDEA IN ONE PARAGRAPH

A person who lives by working has one asset: **the ability to work**. Everything the household consumes depends on that asset continuing to produce income.

Social security is the organised response to the fact that the ability to work can be interrupted or destroyed - temporarily by sickness, injury, childbirth or lay-off; **permanently** by disabling accident, occupational disease or old age; or **for the family rather than the worker** by death, which ends the income while the dependants remain.

Each loss has the same shape: **the worker is not at fault, the loss is unaffordable out of savings, and the timing is unpredictable for an individual but highly predictable for a large group**. That last clause is the basis of the solution, and you know it from banking - a risk unpredictable for one person and statistically stable across ten million is an **insurable** risk.

So social security is compulsory insurance and compulsory saving against the interruption of earning capacity, organised by the State because the market will not organise it adequately alone.

JARGON DECODER · THE VOCABULARY OF THE WHOLE MODULE

Term	What it means
Contingency	The event insured against. The ILO's nine are the standard classification
Social insurance	Contributory . Entitlement earned by a contribution record, funded from payroll contributions into an earmarked fund. EPF, EPS, ESI
Social assistance	Non-contributory . Entitlement from need, usually means-tested , funded from general taxation. NSAP pensions
Employer liability	A duty on the employer to pay the worker directly, with no fund and no pooling . Gratuity, Employees' Compensation, Maternity Benefit
Universal benefit	Paid on residence or citizenship alone - no contribution record, no means test
Defined contribution (DC)	What goes in is fixed; the output is contributions plus credited interest. The member bears investment risk. EPF is DC
Defined benefit (DB)	What comes out is fixed by formula. The fund bears investment risk. EPS 1995 is DB
Vesting	The minimum qualifying period before a right matures. Ten years for an EPS pension
Adverse selection	The worst risks insure most eagerly, raising premiums and driving good risks out
Moral hazard	Insurance making the insured event more likely or costlier, because another pays
Portability	Carrying an entitlement between employers. What the UAN delivers
Actuarial	Calculated on projections of mortality, morbidity and interest. A DB promise must be actuarially funded

MUST MASTER · FIVE DISTINCT MARKET FAILURES - LEARN THEM AS FIVE, NOT AS ONE

1. ADVERSE SELECTION. Insurance is priced on the pool's average risk, but the buyer knows his own risk better than the insurer. So those expecting to be sick buy most eagerly, the pool's average risk rises above the population's, the premium rises, the healthiest leave as overcharged, and the average rises again - **unravelling**. In the limit only the worst risks remain, at a premium none can pay. **Compulsory universal coverage is the cure: a pool nobody can leave cannot self-select.**

2. MYOPIA AND PRESENT BIAS. Retirement is thirty-five years away and needs are immediate. People systematically under-save for distant certain events - not stupidity but a universal preference for the present. Under-saving at thirty cannot be corrected at sixty-five, because the earning capacity is gone. **Compulsory deduction at source is the cure**, which is why the Provident Fund is deducted before wages reach the worker rather than invited afterwards.

3. THE SAMARITAN'S DILEMMA. A humane society will not let the destitute old starve. Once that is understood, the rational course is to save nothing and rely on rescue - so the more reliable the rescue, the weaker the incentive to save. **Voluntary provision is undermined by the very compassion that makes provision necessary.**

4. CORRELATED AND UNINSURABLE RISKS. Private insurance needs independent losses - your illness does not cause mine. But a recession makes millions jobless at once, inflation erodes every pension together, an epidemic sickens a whole city. **No private insurer can pool a risk that hits its entire book on one day.** Only an entity that can tax and borrow can carry it - **which is why unemployment insurance is almost nowhere purely private.**

5. POVERTY AND THE INVERSE RELATION. Those most needing protection can least afford a premium, and their small balances are least profitable to administer. **A commercial insurer will rationally decline exactly the customers with the greatest need - the market's allocation is inverted relative to need.**

FROM YOUR OWN WORLD · ADVERSE SELECTION AS A CREDIT OFFICER KNOWS IT

Suppose your branch offered an unsecured personal loan at a **single flat rate** to all comers, no appraisal, priced at the population's average default rate.

Good borrowers shop around and leave. Borrowers refused everywhere else arrive, because your flat rate is the cheapest they have been offered. **Your book fills with exactly the applicants your pricing did not assume.** Defaults exceed the priced average, you raise the rate, the next-best tranche leaves, and the book deteriorates at every repricing. **That is adverse selection.**

A bank has two defences. **Appraise and price by risk** - which is what a private insurer does when it medically examines applicants, excludes pre-existing conditions and loads the premium for the old. Or **make the pool universal**, so selection is impossible.

Social insurance must take the second route, and here is why. The insurer's behaviour - screen out the sick, load for the old - is commercially sound **and a complete failure as social policy**, because the sick and the old are precisely whom the policy exists to protect. The State cannot use the insurer's defence, so it uses the other one.

Hence the most useful sentence in this chapter: social insurance is compulsory not because the State is paternalistic, but because a voluntary pool cannot survive adverse selection. It is why the EPF Act never asks an employee whether he would like to join.

IN PLAIN ENGLISH · WHAT COMPULSION COSTS

All five failures are cured by the same instrument, **compulsion by statute** - which is why this is a subject of law and why you are an enforcement officer. But name the costs too, because a good interview answer does:

- 1 Some people are forced to buy protection they consider poor value
- 2 A payroll contribution is a **cost of formal employment**, so it can push marginal employers into **informality** - one real explanation of India's large unorganised sector
- 3 A contributory scheme reaches only those with a formal employer, **structurally excluding** the self-employed and casual worker
- 4 Compulsory funds are large, so their governance and returns become a public question

The balanced formulation: the failures are real, so some compulsion is unavoidable; the design question is not whether to compel but **how to compel without pricing formal employment out of reach** - exactly the problem the Social Security Code 2020 addresses for gig workers by levying on turnover instead of a wage.

CHECK YOURSELF · SESSION 1

- 1 What single asset does social security protect? Why is the risk insurable?
- 2 Name and explain the five market failures
- 3 Which failure explains why unemployment insurance is almost never private?
- 4 Explain adverse selection through a loan book, then say why the insurer's defence fails as social policy
- 5 Distinguish social insurance, social assistance, employer liability and a universal benefit. Which has no fund at all?
- 6 Name three honest costs of compulsory social insurance

2. Session 2 - Bismarck, Beveridge, the ILO, India



Two countries invented the two models the world now uses, and India borrowed from both.

MUST MASTER · BISMARCK'S GERMANY - THE FIRST SOCIAL INSURANCE IN THE WORLD

Otto von Bismarck, Chancellor of the German Empire, enacted the world's first national social insurance in three steps:

- 1 **1883 - Sickness Insurance Law. Contributory**, shared between worker and employer
- 2 **1884 - Accident Insurance Law. Funded entirely by employers**
- 3 **1889 - Old Age and Invalidity Insurance Law. Worker, employer and a State subsidy;** pension age initially **70**

Three features India reproduced: entitlement rests on a **contribution record**, not need or citizenship, so there is **no means test**; financing is by **earmarked payroll contributions** into separate funds rather than general taxation; administration is by **autonomous funds and boards**, not a government department.

Why a conservative invented the welfare state. Bismarck was no reformer - he had already outlawed the Social Democrats' organisation under the **Anti-Socialist Laws of 1878**. Social insurance was the other half of the same strategy: **detach the working class from that movement** by having the State, not the unions, deliver the security workers wanted. **The general lesson is that social security was conceded because the alternative was unrest, not because it was right** - which is also the honest reading of why Indian labour statutes cluster around Independence. It also explains the design: because the purpose was to bind the worker through his own contributions, entitlement had to be **earned**, which is why an EPF member has a **property-like claim** on his accumulation. **Compulsion and ownership arrived together.**

Now the structural point that pays off immediately. Bismarck used **two funding designs for two risks**, and India made the same choice:

- 1 **Sickness was made contributory**, because sickness is nobody's fault. **India's ESI Act 1948 does the same - 0.75% employee plus 3.25% employer**
- 2 **Accident was placed wholly on the employer**, because the workplace caused it. **India's Employees' Compensation Act 1923 does the same - the employer alone, no worker contribution**

Who pays follows from who is responsible. State that principle and you can reconstruct the funding of any of these statutes instead of memorising it.

MUST MASTER · BEVERIDGE'S BRITAIN, 1942 - THE FIVE GIANTS

Sir William Beveridge's report "**Social Insurance and Allied Services**" (1942, in wartime) founded the universalist model.

THE FIVE GIANTS - the most examinable list here:

- 1 **WANT** - poverty, met by social security
- 2 **DISEASE** - met by a national health service
- 3 **IGNORANCE** - met by universal education
- 4 **SQUALOR** - bad housing, met by housing policy
- 5 **IDLENESS** - unemployment, met by full-employment policy

Only the **first** is social security in the narrow sense; the plan's ambition was to attack all five together, hence "**cradle to grave**".

Beveridge's three assumptions: children's allowances; comprehensive health and rehabilitation services; maintenance of employment.

His principles of social insurance: a **flat rate** of subsistence benefit and a **flat rate** of contribution, the same for rich and poor; **unification** of administrative responsibility; **adequacy**; **comprehensiveness**; and **classification** of the population into groups.

Result in Britain: the **National Insurance Act 1946** and the **National Health Service 1948**.

COMMON UPSC TRAP · BISMARCK AGAINST BEVERIDGE - THE COMPARISON THE PAPER TESTS

Feature	BISMARCK	BEVERIDGE
Origin	Germany 1883-1889	UK, report 1942
Entitlement from	Contribution record	Citizenship or residence
Financing	Earmarked payroll contributions	General taxation
Coverage	Employed persons , occupation by occupation	The whole population
Benefit shape	Earnings-related	Flat-rate subsistence
Administration	Autonomous funds and boards	Unified state administration
Means test	Absent	Absent for insurance; present for residual assistance
Indian examples	EPF, EPS 1995, EDLI, ESI	PM-JAY, NSAP, PDS - though these are targeted assistance, not truly universal

The one-line discriminator: Bismarck asks "what have you contributed?" Beveridge asks "are you a member of this society?"

And the trap. It is tempting to file India under one heading. **India is neither, and that is the correct answer** - a **Bismarckian contributory core** for the organised sector (EPFO and ESIC exactly) **surrounded by tax-financed assistance** for everybody that core cannot reach. A **two-tier hybrid**, and the gap between the tiers is the coverage problem in Session 5.

KNOW · THE ILO - TWO INSTRUMENTS THAT MATTER HERE

The **ILO** was created in **1919** by **Part XIII of the Treaty of Versailles**, is **tripartite** at 2:1:1, and became the first UN specialised agency in 1946.

- 1 Declaration of Philadelphia, 1944** - annexed to the ILO Constitution. Declared that "**labour is not a commodity**" and committed the Organisation to **extending social security to provide basic income to all in need and comprehensive medical care**. Note the year: **1944, between Beveridge in 1942 and Convention 102 in 1952** - the idea moved from a British report to an international obligation in under a decade
- 2 Convention No. 102, the Social Security (Minimum Standards) Convention, 1952** - the source of the **nine contingencies**, and the subject of Session 3

One later instrument fits India's problem exactly: Recommendation No. 202, Social Protection Floors, 2012, asking States to guarantee a **basic floor** to all residents. That is a **Beveridge-shaped answer to a Bismarck-shaped gap**, and the basis of schemes like PM-JAY. **Note that 202 is a Recommendation, not a Convention.**

India's ratification of C102 is a CONFIRM item and is not asserted here, as with **C155** and **C187**. **What is safe to say is that India has ratified 6 of the 8 classic core Conventions, not C87 and C98** - the verified fact, and a different question.

MEMORY TECHNIQUE · THE CHRONOLOGY - NINE DATES THAT ARE THE SPINE OF THE MODULE

Year	Instrument	What it added
1923	Workmen's Compensation Act - now Employees' Compensation	The first social security legislation in India. Employment injury , on pure employer liability
1948	Employees' State Insurance Act	Medical care and sickness ; India's first true social insurance fund
1952	Employees' Provident Funds Act	Old age by compulsory defined-contribution saving. Your Act
1961	Maternity Benefit Act	Maternity , on employer liability, outside ESI
1972	Payment of Gratuity Act	A long-service terminal payment , on employer liability
1976	EDLI Scheme	Survivors' cover, by scheme under the 1952 Act
1995	Employees' Pension Scheme	A defined-benefit pension from part of the EPF contribution. Superseded the Family Pension Scheme 1971
2008	Unorganised Workers' Social Security Act	First statute addressing the 90% outside the contributory core
2020	Code on Social Security	Consolidated nine Acts ; brought in gig and platform workers . In force 21 November 2025

Three observations that turn the list into understanding:

- 1 **The order follows the VISIBILITY of the risk, not its size.** Industrial accidents came first in 1923 because an amputated hand is unmistakable and traceable to the workplace. Old age came thirty years later although it is universal and certain - because it is slow, undramatic and easy to postpone. **Legislatures answer visible risks first**
 - 2 **1948 and 1952 sit either side of Independence** for one reason: both were drafted in the same climate of industrial mobilisation, and both give effect to the **Karachi Resolution of 1931**, traced in Chapter F1.4 into **Articles 39, 41, 42 and 43**
 - 3 **1976 and 1995 are NOT Acts.** EDLI and EPS are **Schemes framed under the 1952 Act** - the single most useful structural fact in the module. The 1952 Act is an **enabling** Act, so its schemes can be amended by notification without amending the Act. **A question calling EPS "the Act of 1995" is wrong; a question asking its parent Act wants 1952**
- Two reports worth a line each:** the **Royal Commission on Labour 1929-31**, the **Whitley Commission**, which recommended provident funds and sickness insurance; and the **B. P. Adarkar Report 1944**, the direct basis of the **ESI Act 1948**. **Adarkar is to ESI what Beveridge is to National Insurance** - two years apart, and worth remembering as a pair.

CHECK YOURSELF · SESSION 2

- 1 Give the three Bismarckian laws with years, and say who funded each
- 2 Why did a conservative create social insurance, and what does that explain about the design?
- 3 Which Indian Act reproduces the 1884 design, and which the 1883 design?
- 4 Name the five giants in order, and Beveridge's three assumptions
- 5 Fill in the Bismarck-against-Beveridge table from memory
- 6 Is India Bismarck or Beveridge? Defend the answer in two sentences
- 7 What did the Declaration of Philadelphia declare, and when?
- 8 Recite the nine-date chronology. Which two entries are Schemes, not Acts?
- 9 Who was Adarkar, and which Act rests on his report?

3. Session 3 - Convention 102 and the Nine Contingencies ★★★★★

The most important section in the chapter. Learn this and you have the architecture of Indian social security on one page.

START FROM ZERO · WHAT A MINIMUM STANDARDS CONVENTION DOES

By 1952 the ILO's members ranged from Britain, with a comprehensive new system, to States with nothing. A Convention demanding the British standard would be ratified by nobody; one demanding very little would achieve nothing.

Convention 102 solves this cleverly. It defines **nine branches** of social security and sets a minimum standard for each - persons protected, benefit rate, qualifying conditions, duration. **Then it does not require a State to accept all nine.** A ratifying State must accept **at least three**, and **at least one of those three from a harder group - unemployment, old age, employment injury, invalidity or survivors'** - and may extend later.

So C102 is a floor with a ratchet, not a ceiling. That flexibility is why it became the standard international benchmark. **For the exam the operative content is the LIST OF NINE**, with the three-branch rule as the mechanism a well-set question uses to build wrong options.

MUST MASTER · THE NINE CONTINGENCIES - CONVENTION 102, 1952

In the Convention's own order, which is the order to learn:

- 1 **1. Medical care** (Part II)
- 2 **2. Sickness benefit** (Part III) - cash for temporary incapacity
- 3 **3. Unemployment benefit** (Part IV)
- 4 **4. Old-age benefit** (Part V)
- 5 **5. Employment injury benefit** (Part VI)
- 6 **6. Family benefit** (Part VII)
- 7 **7. Maternity benefit** (Part VIII)
- 8 **8. Invalidity benefit** (Part IX) - permanent incapacity not caused by employment
- 9 **9. Survivors' benefit** (Part X)

By life sequence: born into a **family** (6), mother needs **maternity** (7), illness needs **medical care** (1) and **sickness** cash (2), hurt at work is **employment injury** (5), job lost is **unemployment** (3), permanently disabled is **invalidity** (8), then **old age** (4), then **survivors'** (9).

The more useful structure is the pairing, because four of the nine are routinely confused:

- 1 **Sickness (2) is temporary; invalidity (8) is permanent** - same cause type, different duration
- 2 **Employment injury (5) is work-caused; invalidity (8) is not** - same permanence, different cause

So the discriminating questions are: how long, and caused by what? Temporary plus any cause is **sickness**. Permanent plus work-caused is **employment injury**. Permanent plus not work-caused is **invalidity**. That distinction is why India has separate statutes for injury and sickness, and why a **Medical Board** rather than a court decides disablement.

MUST MASTER · THE MASTER MAP - PART 1, CONTINGENCIES 1 TO 5

Contingency	Indian answer	How it is delivered
1. Medical care	ESI Act 1948	Medical benefit in kind - not cash - to the insured person and family , through ESIC hospitals, from the first day with no qualifying period. Outside ESI: PM-JAY , tax-financed, Rs 5 lakh per family per year
2. Sickness	ESI Act 1948	70% of wages for up to 91 days a year, requiring 78 days of contribution. Extended sickness 80% for up to 2 years for specified diseases; enhanced 100% for sterilisation
3. Unemployment	Weak and partial - the thinnest branch	ESI unemployment allowance at 50% under the Atal Beemit Vyakti Kalyan Yojana (predecessor: Rajiv Gandhi Shramik Kalyan Yojana). Plus ID Act lay-off compensation at 50% of basic and DA and retrenchment compensation at 15 days per completed year - but these are employer payments on separation, not insurance . EPF withdrawal is the worker's own money, not a benefit
4. Old age	EPF and EPS 1995	EPF as a DC lump sum; EPS 1995 as a DB monthly pension after 10 years' eligible service. Alongside: gratuity 1972 , NPS , and for the unorganised APY and PM-SYM . Assistance tier: NSAP old age pension
5. Employment injury	Two statutes, MUTUALLY EXCLUSIVE	ESI 1948 where covered - disablement benefit at 90% , disablement assessed by a MEDICAL BOARD . Employees' Compensation Act 1923 where not - a lump sum on the statutory formula, from the employer alone. A worker covered by ESI cannot claim under the 1923 Act for the same injury

Note contingency 3 - the honest weak point and a fair target. India has **no general unemployment insurance**; what exists is a limited ESI allowance plus separation payments that compensate the act of dismissal rather than insure the state of joblessness. **Asked which branch is least developed in India, answer unemployment.**

MUST MASTER · THE MASTER MAP - PART 2, CONTINGENCIES 6 TO 9

Contingency	Indian answer	How it is delivered
6. Family benefit	NONE - India has no general family benefit	C102 means a periodic cash allowance for dependent children , paid because the children exist. India has no such benefit . What exists is in kind and targeted - the PDS, the mid-day meal, ICDS and Anganwadi nutrition, and PMMVY for maternity. Useful, but not a family allowance . The one branch to which the honest answer is that it is unanswered
7. Maternity	Maternity Benefit Act 1961 and ESI 1948	26 weeks paid leave under the 1961 Act, at full wages, paid by the employer . Where the woman is covered by ESI, ESI maternity benefit at 100% for 26 weeks instead - the two do not stack . Plus PMMVY outside formal employment. Full treatment in F2.8; outlined again in F3.7
8. Invalidity	EPS 1995 , plus ESI where work-caused	EPS disablement pension where a member becomes permanently and totally unfit, payable irrespective of the 10-year condition . ESI permanent disablement benefit at 90% where an employment injury caused it. Assistance tier: NSAP disability pension
9. Survivors'	EDLI 1976, EPS 1995 and ESI - three at once	EDLI 1976 pays a lump sum assurance on death in service. EPS 1995 pays a monthly widow or widower's pension, children's pension and an orphan pension . ESI dependants' benefit at 90% where death resulted from employment injury, plus funeral expenses of Rs 15,000 . Assistance tier: NSAP widow pension

The likeliest single question from this table: which of the nine does India not provide for? FAMILY BENEFIT. Do not be talked out of it by the PDS or the mid-day meal - those are in-kind nutrition and food-security programmes, and Part VII means a periodic cash allowance.

MEMORY TECHNIQUE · READ THE MAP BACKWARDS - ONE STATUTE, MANY CONTINGENCIES

The paper asks it in this direction too, and it exposes how much work two statutes do.

- 1 ESI Act 1948 alone answers SIX of the nine** - medical care, sickness, unemployment in part, employment injury, maternity, invalidity, and survivors' where death was work-caused. **The broadest single social security statute in India** - the fact to have ready if asked which covers the most contingencies
 - 2 The EPF & MP Act 1952, through its three schemes, answers THREE** - old age, invalidity and survivors'. **Narrow in range, enormous in reach**, applying at **20** employees against ESI's **10** but without ESI's requirement of a notified implemented area
 - 3 Employees' Compensation Act 1923 answers ONE**, and only outside ESI
 - 4 Gratuity 1972 answers, strictly, NONE of the nine** - a long-service reward on termination, not insurance against a contingency. It is grouped here because the Code consolidated it
- The pattern: ESI is broad and shallow across risks; EPF is narrow and deep.**

THINK LIKE UPSC · HOW THE NINE GET EXAMINED

- 1 **Direct recall** - "which is NOT one of the nine?", where the wrong option is a plausible modern addition such as **housing, education** or **long-term care**. **None is in the list; learn the nine as a closed list**
 - 2 **Statement-based** - typically swapping ESI and the 1923 Act, or claiming India has a family benefit
 - 3 **Matching** - contingency against statute, rewarding the two tables above
 - 4 **The discriminating pair** - a scenario where you must choose between sickness, employment injury and invalidity. Ask: **temporary or permanent, and work-caused or not?**
- The highest-value fact for a "not correct" stem: India has no general family benefit.** An option asserting otherwise is the wrongest statement available in this territory.

CHECK YOURSELF · SESSION 3

- 1 How many branches must a ratifying State accept, and what constrains which?
- 2 Recite the nine in the Convention's order
- 3 Distinguish sickness, employment injury and invalidity by the two questions
- 4 Name the principal Indian instrument for each of the nine
- 5 Which branch is unanswered? Why do the PDS and mid-day meal not count?
- 6 Which branch is weak rather than absent, and what partial provision exists?
- 7 How many of the nine does ESI answer? How many does the EPF Act?
- 8 Why can an ESI-covered worker not claim under the 1923 Act? Who determines disablement, and why that body?

4. Session 4 - The Four Architectures, and DB against DC ★★★★★

Two classifications and one piece of arithmetic. This is where a banker's instincts help most.

MUST MASTER · THE FOUR ARCHITECTURES - AND WHY THE FOURTH IS FORGOTTEN

Architecture	Who funds	Entitlement from	Means test	Indian examples
Social insurance	Worker and employer, sometimes plus the State	A contribution record	No	EPF, EPS 1995, EDLI, ESI
Social assistance	The State , from taxation	Need	Usually yes	NSAP old age, widow, disability pensions
Universal benefit	The State , from taxation	Residence or citizenship	No	Rare in India. PM-JAY is targeted , so not truly universal
Employer liability	The employer alone	The employment relationship	No	Gratuity 1972, Employees' Compensation 1923, Maternity Benefit 1961

The fourth row is the one candidates omit, and it explains the most. **Employer liability means no fund, no pooling and no insurer** - the statute simply says: when this event happens, **you, the employer, shall pay this worker this amount**. Nothing is collected in advance; nothing is invested.

Three consequences, all examinable:

- 1 **There is no contribution rate for gratuity or the 1923 Act**, because nobody contributes. An option offering an employee contribution rate for gratuity is wrong by construction
- 2 **There is no qualifying contribution period** - only a service condition, which is why gratuity turns on **5 years of continuous service** rather than contribution days
- 3 **The worker bears the employer's insolvency risk**. If the employer has no money the benefit simply fails, because no fund stands behind it. **This is the strongest argument for converting employer liability into insurance**, and precisely why ESI displaced the 1923 Act for covered workers - **a fund pays even when the employer cannot**

So these are not four labels but four answers to one question: what happens when the employer cannot pay? Insurance pays. Assistance pays. Employer liability does not.

FROM YOUR OWN WORLD · GRATUITY IS AN UNFUNDED CONTINGENT LIABILITY

You already know what to think of an unfunded contingent liability: **a promise disclosed in the notes to the accounts with no asset set aside against it**.

Gratuity is literally an unfunded defined-benefit obligation of the employer - which is why accounting standards require it to be **actuarially valued**, and why many employers voluntarily buy a group gratuity policy from an insurer to fund it. Social insurance, by contrast, is a **compulsory recurring deposit with an insurance rider**: money goes in monthly from two parties, sits in an earmarked fund, and pays out on defined events.

Note why the accountant calls gratuity "defined benefit": the amount is fixed by formula and the employer carries the whole funding risk. Apply that identical test to the Provident Fund and the Pension Scheme, and the next box will be obvious rather than memorised.

START FROM ZERO · DC AGAINST DB IN ONE QUESTION

Ask one question of any retirement arrangement: **which end is fixed?**

- 1 If **what goes IN** is fixed and the output is whatever it grows to, it is **DEFINED CONTRIBUTION (DC)**. **The member bears the investment risk**
- 2 If **what comes OUT** is fixed by formula and the fund must find the money, it is **DEFINED BENEFIT (DB)**. **The fund bears the investment risk**

Now the fact that matters most in this module: the EPF Act runs BOTH types at once, out of the same 12 per cent employer contribution.

- 1 The **Provident Fund is DC**. A fixed percentage goes in, interest is credited at a rate declared each year - **8.25% for FY 2025-26** - and the member takes the accumulated balance. Nobody promises him a figure in advance
- 2 The **Pension Scheme 1995 is DB**. A formula fixes the monthly pension. Whether the diverted **8.33%** earns enough is the Scheme's problem, not the member's

Hence EPS has a formula and EPF does not, and hence EPS can be in deficit while EPF cannot. A DC scheme **cannot** be underfunded - the balance is whatever it is. **A DB promise can be**, which is why the EPS's actuarial position is a live controversy. Understand this and you understand the higher-pension litigation in F3.3 before reading a word of it.

MUST MASTER · THE CONTRIBUTION SPLIT AND THE EPS 1995 FORMULA

The verified contribution structure, met again in F3.2 and F3.3:

- 1 **Employee 12%** - all of it to the **provident fund**
- 2 **Employer 12%**, which **splits: 8.33% to the Pension Scheme and 3.67% to the provident fund**
- 3 **EDLI 0.50%** and **administrative charges 0.50%**, both on the employer
- 4 **Central Government 1.16%** to the Pension Scheme
- 5 Wage ceiling **Rs 15,000**

The employer's 12 per cent is where the system changes character: 3.67% into a DC pot the member owns, and 8.33% buying a DB promise he does not own but can enforce. One contribution, two entirely different legal animals.

THE FORMULA:

Monthly pension = (Pensionable Salary × Pensionable Service) ÷ 70

- 1 **Pensionable salary** - the average of wages over the specified span before exit, subject to the ceiling
- 2 **Pensionable service** - service reckoned under the Scheme
- 3 **70** - the divisor the Scheme fixes. Not derived from anything; learn it as a constant
- 4 **10 years' eligible service** is required for a superannuation pension; below that the member takes a withdrawal benefit
- 5 Where pensionable service is **20 years or more, a bonus of 2 years is added to pensionable service**

WORKED EXAMPLE · 1 - THE CLEAN CASE

Facts. Pensionable salary **Rs 15,000**, pensionable service **35 years**.

Step 1 - the formula. Monthly pension = (Pensionable Salary × Pensionable Service) ÷ 70

Step 2 - substitute. = (15,000 × 35) ÷ 70

Step 3 - numerator. 15,000 × 35 = **5,25,000**

Step 4 - divide. 5,25,000 ÷ 70 = **Rs 7,500 per month**

Two things to notice. First, **35 ÷ 70 is exactly one half** - so at 35 years the pension is **half the pensionable salary**, whatever it is. That is an instant sanity check on any option list.

Second, because pensionable salary is capped at **Rs 15,000**, this **Rs 7,500 is effectively the maximum ordinary EPS pension** on a 35-year career at the ceiling - whether the member earned Rs 15,000 or Rs 1,50,000. **That single fact is the whole motivation for the higher-pension litigation**, and the current position is that **the window is not open**.

WORKED EXAMPLE · 2 - THE 2-YEAR BONUS, AND THE TRAP

Facts. Pensionable salary **Rs 15,000**, **33 years** of actual pensionable service.

The careless answer. (15,000 × 33) ÷ 70 = 4,95,000 ÷ 70 = **Rs 7,071. Wrong.**

Why. Service is **20 years or more**, so the Scheme **adds a 2-year bonus to pensionable service** before the formula is applied.

Step 1 - apply the bonus first. 33 + 2 = **35 years**

Step 2 - substitute. (15,000 × 35) ÷ 70 = 5,25,000 ÷ 70 = **Rs 7,500 per month**

THE TRAP. The 2 years are added **to the service, inside the bracket, before dividing** - not to the pension afterwards, and not as a 2-year extension of payment. Where a question gives actual service of 20 years or more it is very often testing exactly this, with the un-bonused figure sitting in the option list. **Whenever service is 20 or more, write "+2" before anything else.**

The boundary case. The bonus applies at **20 years or more**, so at exactly 20 it **DOES** apply, giving 22. Contrast the retrenchment trap in F2.3, where **"in excess of six months" means exactly six months does NOT count**. **The two statutes use opposite conventions at the boundary, and the paper knows it. Read the words.**

BEGINNER MISTAKE · FOUR CONFUSIONS TO KILL NOW

- 1 **"EPF pays a pension."** No - **EPF pays a lump sum**; the pension is **EPS 1995**, fed by the 8.33% diversion. Two schemes, one Act
- 2 **"The employee's 12% funds the pension."** No - **the employee's entire 12% goes to the provident fund**. The pension comes from the **employer's** share plus the Government's 1.16%
- 3 **"8.33 and 3.67 are arbitrary."** **8.33 + 3.67 = 12.00** exactly - the fastest check that you have the split the right way round. **The larger share goes to the pension**
- 4 **"EPS is DC because you contribute to it."** No - the test is **which end is fixed**. EPS fixes the **output**, so it is **DB**, however it is funded

KNOW · GUHAN'S THREE-FOLD CLASSIFICATION, AND THE DREZE-SEN PAIR

S. Guhan's three-fold classification is the more discriminating and the more often asked:

Type	Purpose	Indian examples
PROMOTIONAL	Raise living standards generally , so deprivation is less likely to arise. Generic, not contingency-linked	MGNREGA , the PDS, the mid-day meal, ICDS nutrition, skill development
PREVENTIVE	Prevent a specific contingency causing destitution, by insuring against it in advance	EPF, EPS 1995, ESI, EDLI - the contributory core
PROTECTIVE	Relieve those who have already fallen into deprivation	NSAP old age, widow and disability pensions; relief and rehabilitation

The logic is temporal: PROMOTIONAL acts before the risk exists, PREVENTIVE in anticipation of a known risk, PROTECTIVE after the damage. Before, during, after.

Amartya Sen and Jean Dreze use a **two-fold** distinction: **promotional** social security enhances capabilities generally, **protective** prevents a decline from levels already attained - and **in their pair the contributory schemes are protective**.

The safe exam approach: if a question offers THREE categories it is Guhan's and EPF is PREVENTIVE. If it offers TWO it is Dreze and Sen's and EPF is PROTECTIVE. Count the options before classifying.

CHECK YOURSELF · SESSION 4

- 1 Name the four architectures with funder, source of entitlement and an Indian example
- 2 Which has no fund or pooling? Name three statutes using it
- 3 What happens to an employer-liability benefit on insolvency, and what does that argue for?
- 4 State the test distinguishing DC from DB. Which of EPF and EPS is which, and why can only one be underfunded?
- 5 Write the employer's 12% split and check it sums
- 6 Compute the pension for Rs 15,000 and 35 years. What is the shortcut?
- 7 Recompute for 33 actual years. What must you do first?
- 8 At exactly 20 years does the bonus apply? Contrast the ID Act's "in excess of six months"
- 9 Classify EPF under both classifications, and explain why the answers differ

5. Session 5 - The Coverage Gap, and the Chain to Your Desk ★★★★★

Everything so far describes a worker with a formal employer. Nine in ten Indian workers do not have one.

MUST MASTER · WHY A CONTRIBUTORY SYSTEM CANNOT REACH AN UNORGANISED WORKFORCE

Roughly 90 per cent of India's workforce is in unorganised or informal employment. The NCEUS reported a figure in the low nineties; contemporary labour-force estimates sit around **90 per cent**. Treat "about 90 per cent" as the safe answer and mark any more precise current figure **CONFIRM**.

A contributory scheme needs four things, and the unorganised worker has none of them:

- 1 **An identifiable employer** - to bear the employer's share and be inspected. A construction worker moving between contractors, a domestic worker with three households, a street vendor with no employer at all: **there is nobody to assess under Section 7A**
- 2 **A measurable wage** - to take a percentage of. Piece rates, daily cash wages and self-employment income are not a payroll
- 3 **A continuous relationship** - to accumulate a record against. Employment lasting eleven days cannot build a ten-year vesting period
- 4 **A payroll to deduct from** - the mechanism that defeats myopia. Cash wages from a contractor leave nothing to deduct at source

So the exclusion is STRUCTURAL, not administrative. It is not that EPFO failed to register these workers - **the instrument does not fit the employment**. That is the sentence for an interview, and it is why the answer has had to differ in kind.

KNOW · THE THREE RESPONSES, AND THE DESIGN INSIGHT IN THE THIRD

- 1 **Assistance instead of insurance.** Drop the contribution requirement and fund from taxation - **NSAP** pensions, **PM-JAY**. Reaches everybody; benefits are modest and depend on annual budgets
- 2 **Voluntary subsidised insurance.** Keep the contributory form but make it individual and cheap with State co-contribution - **APY**, **PM-SYM** at **50:50**, **PMJJBY** at **Rs 436**, **PMSBY** at **Rs 20** (Chapter F3.9). The weakness is inherent: **voluntary schemes suffer exactly the adverse selection and myopia of Session 1**, so enrolment always disappoints
- 3 **Redesign the levy so it needs no wage** - the genuinely new idea

The third, worked out. If you cannot take a percentage of a wage because there is no wage, **take a percentage of something else measurable**. The Social Security Code 2020 requires an **aggregator** to contribute **1 to 2 per cent of turnover, capped at 5 per cent of the amounts paid to gig and platform workers**.

And you have seen this device already. In F2.7 the Building and Other Construction Workers' legislation of **1996** funds welfare by a **cess of 1 to 2 per cent of the cost of construction**, precisely because building employment is transient with no stable payroll.

Same problem, same solution, twenty-four years apart: where employment is too fluid to carry a payroll levy, levy the project or the platform instead of the wage. Registration then attaches to the **worker through e-Shram and the UAN** rather than to a job. **That is the key conceptual development in modern Indian social security, and the answer to "how would you extend coverage?"**

IMPORTANT · FIGURES HERE - WHAT IS SAFE AND WHAT IS NOT

- 1 **SAFE:** roughly **90%** of the workforce is unorganised; aggregator **1-2% of turnover capped at 5% of payments**; construction cess **1-2% of construction cost**; **e-Shram launched 2021**, issuing a UAN
 - 2 **CONFIRM, do not assert:** current e-Shram registrations; the current share of Indians covered by at least one social protection benefit, which the ILO's World Social Protection Report has shown rising and which circulates at several different levels; India's ratification of **C102**
- A wrong figure recited confidently is worse than "of the order of ninety per cent, and I would check the current figure" - and in the written paper it is the statutory thresholds that get asked, not these percentages.**

MUST MASTER · THE SPINE - FROM KARACHI 1931 TO YOUR SECTION 7A ORDER

Karachi Resolution, 1931 - the Congress demands a living wage, limited hours and protection against sickness and old age → those demands enter the Constitution not as rights but as **Directive Principles**, chiefly **Article 39** (health and strength of workers not to be abused), **Article 41** (public assistance in unemployment, old age, sickness and disablement), **Article 42** (humane conditions and maternity relief) and **Article 43** (a living wage) → Part IV being **non-justiciable** under **Article 37**, no worker could sue for a pension → so **Parliament legislated voluntarily**, drawing competence from **Entry 23** of the Concurrent List, which names "**Social security and social insurance; employment and unemployment**" in terms, and **Entry 24**, "**Welfare of labour including... provident funds**", read with **Article 246** → enacting the **EPF & MP Act, 1952**, an **enabling** Act creating no benefit itself → under which the Central Government framed **three schemes** - the **EPF Scheme**, the **Employees' Pension Scheme 1995** and **EDLI 1976** - and constituted **EPFO**, a **statutory body** under the **Ministry of Labour and Employment**, governed by a **tripartite Central Board of Trustees** chaired by the Union Labour Minister → EPFO, being an "**other authority**", is "**State**" within **Article 12** → therefore an **APFC** determining dues under **Section 7A** exercises a **quasi-judicial** power bound by **Article 14** (a reasoned, consistent, non-arbitrary order) and **Article 21** as read in **Maneka Gandhi** (notice, hearing, fair procedure) → from which the employer appeals under **Section 7-I** to the **CGIT acting as the EPF Appellate Tribunal** within **60 days, extendable by a further 60** → and thereafter to the **High Court under Article 226**, typically seeking **certiorari**.

Part IV told the State what to do. Part III controls how you do it.

CHECK YOURSELF · SESSION 5

- 1 What share of the workforce is unorganised? Which figures should you refuse to assert?
- 2 Name the four things a contributory scheme needs, and show the unorganised worker has none
- 3 Why is the exclusion structural rather than administrative?
- 4 Name the three responses. Why do voluntary subsidised schemes disappoint?
- 5 State the aggregator contribution and the construction cess. What principle do they share?
- 6 Which Concurrent List entry names social security expressly?
- 7 Recite the chain from Karachi 1931 to Article 226 in under ninety seconds

6. Graded Practice - 42 Questions ★★★★★

6.1 Level 1 - Recognition

Q. 1. The first social security legislation enacted in India was the

(a) Employees' State Insurance Act, 1948 (b) Workmen's Compensation Act, 1923 (c) Employees' Provident Funds Act, 1952 (d) Maternity Benefit Act, 1961

Q. 2. The world's first national sickness insurance law was enacted in Germany in

(a) 1878 (b) 1883 (c) 1889 (d) 1911

Q. 3. The Beveridge Report, "Social Insurance and Allied Services", was published in

(a) 1919 (b) 1935 (c) 1942 (d) 1948

Q. 4. Which one of the following is one of Beveridge's five giants?

(a) Inequality (b) Squalor (c) Corruption (d) Illiteracy

Q. 5. The ILO Convention laying down minimum standards for social security is

(a) Convention No. 87 (b) Convention No. 98 (c) Convention No. 102 (d) Convention No. 202

Q. 6. The number of contingencies recognised by that Convention is

(a) seven (b) eight (c) nine (d) ten

Q. 7. Which one of the following is not among the nine contingencies?

(a) Invalidity benefit (b) Survivors' benefit (c) Housing benefit (d) Family benefit

Q. 8. The Employees' Provident Fund is an example of a

(a) defined benefit scheme (b) defined contribution scheme (c) social assistance scheme (d) universal benefit

Q. 9. The Employees' Pension Scheme, 1995 is an example of a

(a) defined benefit scheme (b) defined contribution scheme (c) employer liability scheme (d) means-tested benefit

Q. 10. In the EPS 1995 pension formula, the divisor is

(a) 60 (b) 65 (c) 70 (d) 75

Q. 11. The employer's 12 per cent contribution under the EPF & MP Act is divided as

(a) 8.33% to provident fund and 3.67% to pension (b) 8.33% to pension and 3.67% to provident fund (c) 6% to each (d) 10% to pension and 2% to provident fund

Q. 12. The Central Government's contribution to the Employees' Pension Scheme is

(a) 0.50% (b) 1.16% (c) 3.67% (d) 8.33%

Q. 13. The rate of interest on provident fund accumulations for FY 2025-26 is

(a) 7.10% (b) 8.15% (c) 8.25% (d) 8.50%

Q. 14. The Employees' Deposit Linked Insurance Scheme was introduced in

(a) 1952 (b) 1971 (c) 1976 (d) 1995

Q. 15. The Employees' Pension Scheme replaced the Family Pension Scheme of

(a) 1952 (b) 1971 (c) 1976 (d) 1991

Q. 16. The Code on Social Security consolidated

(a) four Acts (b) nine Acts (c) thirteen Acts (d) twenty-nine Acts

6.2 Level 2 - Understanding**Q. 17. Adverse selection in insurance means that**

(a) insurers deliberately select the worst risks (b) those who expect to claim are the keenest to insure, which raises premiums and drives good risks out of the pool (c) the State selects which risks to cover (d) premiums are set below cost to attract customers

Q. 18. Which market failure best explains why unemployment insurance is almost nowhere purely private?

(a) Adverse selection (b) Myopia (c) Losses are correlated, so a recession hits the insurer's entire book at once (d) Moral hazard

Q. 19. Provident fund contributions are deducted at source rather than invited from the worker principally because

(a) it is administratively cheaper (b) individuals systematically under-save for distant events (c) the Constitution requires it (d) employers prefer it

Q. 20. Which one of the nine contingencies has no general Indian provision?

(a) Invalidity benefit (b) Family benefit (c) Survivors' benefit (d) Maternity benefit

Q. 21. Which contingency is provided for in India only weakly and partially, rather than not at all?

(a) Medical care (b) Old age (c) Unemployment (d) Employment injury

Q. 22. Which architecture of provision involves no fund and no pooling of risk?

(a) Social insurance (b) Social assistance (c) Universal benefit (d) Employer liability

Q. 23. The Payment of Gratuity Act, 1972 is best classified as

(a) social insurance (b) social assistance (c) employer liability (d) a universal benefit

Q. 24. A worker covered by the ESI Act cannot claim under the Employees' Compensation Act, 1923 for the same injury because

(a) the 1923 Act has been repealed (b) the two statutes are mutually exclusive (c) the 1923 Act applies only to agriculture (d) ESI benefits are lower

Q. 25. Under the ESI Act, the extent of disablement is determined by

(a) the Employees' Insurance Court (b) a Medical Board (c) the Regional Director (d) the employer's medical officer

Q. 26. Which single Indian statute answers the largest number of the nine contingencies?

(a) The EPF & MP Act, 1952 (b) The ESI Act, 1948 (c) The Employees' Compensation Act, 1923 (d) The Payment of Gratuity Act, 1972

Q. 27. The Employees' Pension Scheme 1995 and EDLI 1976 are

(a) separate Acts of Parliament (b) schemes framed under the EPF & MP Act, 1952 (c) schemes under the ESI Act, 1948 (d) executive programmes with no statutory basis

Q. 28. In the Bismarckian model, entitlement to benefit rests on

(a) citizenship (b) residence (c) a record of contributions (d) a means test

Q. 29. In the Beveridge model, benefits are characteristically

(a) earnings-related and contributory (b) flat-rate and financed from general taxation (c) paid only to the destitute (d) paid only to industrial workers

Q. 30. Under Guhan's three-fold classification, the Employees' Provident Fund is

(a) promotional (b) preventive (c) protective (d) residual

6.3 Level 3 - Recruitment Test standard**Q. 31. Match List-I with List-II and select the correct answer using the code below:**

List-I (Contingency)	List-II (Principal Indian instrument)
A. Medical care and sickness	1. EDLI, 1976
B. Old age	2. Employees' Compensation Act, 1923 and ESI
C. Employment injury	3. ESI Act, 1948
D. Survivors'	4. EPF and EPS, 1995

(a) A-3 B-4 C-2 D-1 (b) A-3 B-2 C-4 D-1 (c) A-1 B-4 C-2 D-3 (d) A-4 B-3 C-2 D-1

Q. 32. Consider the following statements:

- 1 ILO Convention 102 requires a ratifying State to accept all nine branches of social security.
- 2 A ratifying State must accept at least three branches, one of which must come from a specified group including old age, employment injury and survivors' benefit.
- 3 Convention 102 is described as a minimum standards Convention.

Which of the above statements are correct?

(a) 1 and 3 only (b) 2 and 3 only (c) 1 and 2 only (d) 1, 2 and 3

Q. 33. A member retires with a pensionable salary of Rs 15,000 and 33 years of actual pensionable service. His monthly pension under EPS 1995 is

(a) Rs 7,071 (b) Rs 7,500 (c) Rs 6,429 (d) Rs 8,036

Q. 34. A member's pensionable salary is Rs 15,000 and his pensionable service is 15 years. His monthly pension is approximately

(a) Rs 3,214 (b) Rs 3,643 (c) Rs 4,500 (d) Rs 2,143

Q. 35. Arrange the following in correct chronological order:

- 1 Employees' Deposit Linked Insurance Scheme
- 2 Employees' State Insurance Act
- 3 Employees' Pension Scheme
- 4 Payment of Gratuity Act

(a) 2, 4, 1, 3 (b) 2, 1, 4, 3 (c) 4, 2, 1, 3 (d) 2, 4, 3, 1

Q. 36. Which one of the following statements is not correct?

(a) The Employees' Provident Fund is a defined contribution scheme in which the member bears the investment risk (b) The Employees' Pension Scheme 1995 is a defined benefit scheme in which the fund bears the investment risk (c) A defined contribution scheme can be actuarially underfunded (d) The EPS pension is fixed by a formula while the EPF benefit is not

Q. 37. Consider the following statements about funding:

- 1 The entire employee contribution of 12 per cent goes to the provident fund.
- 2 The Employees' Compensation Act, 1923 requires no contribution from the worker.
- 3 The ESI Act, 1948 is funded by the employer alone.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 38. Which one of the following pairs is not correctly matched?

(a) Bismarck model - entitlement based on contribution record (b) Beveridge model - flat-rate subsistence benefit (c) Social assistance - non-contributory and usually means-tested (d) Employer liability - funded from an earmarked contributory fund

Q. 39. Consider the following statements about extending coverage to unorganised workers:

- 1 The exclusion of unorganised workers from contributory schemes is structural, because such workers often have no identifiable employer, no measurable wage and no continuous relationship.
- 2 The Social Security Code 2020 requires aggregators to contribute 1 to 2 per cent of turnover, capped at 5 per cent of the amounts paid to gig and platform workers.
- 3 The building and construction welfare legislation of 1996 uses a comparable device, levying a cess on the cost of construction.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 40. The Concurrent List entry that expressly names "Social security and social insurance; employment and unemployment" is Entry

(a) 22 (b) 23 (c) 24 (d) 55

Q. 41. Which one of the following statements about classification is correct?

(a) Under Guhan's scheme, MGNREGA is preventive and EPF is promotional (b) Under Guhan's scheme, MGNREGA is promotional, EPF is preventive and NSAP pensions are protective (c) Dreze and Sen use a three-fold classification identical to Guhan's (d) All classifications treat contributory insurance as promotional

Q. 42. An employer whose dues have been determined by an APFC under Section 7A wishes to challenge the order. The correct route is

(a) a writ petition under Article 32 to the Supreme Court (b) an appeal under Section 7-I to the CGIT acting as the EPF Appellate Tribunal, and thereafter the High Court under Article 226 (c) an appeal to the Central Board of Trustees, then to the Ministry (d) a civil suit before the District Court

7. Answers and Explanations

7.1 Level 1

Q	Ans	Explanation
1	b	The Workmen's Compensation Act, 1923 , now the Employees' Compensation Act. ESI 1948 and EPF 1952 came a quarter-century later
2	b	1883 , the Sickness Insurance Law. 1878 was the Anti-Socialist Laws, 1884 accident, 1889 old age and invalidity

Q	Ans	Explanation
3	c	1942 , in wartime. 1919 is the ILO's founding; 1948 is the NHS
4	b	Squalor . The five are Want, Disease, Ignorance, Squalor, Idleness - note the giant is Ignorance , not "illiteracy", and Idleness , not "unemployment". The paper can exploit the exact word
5	c	Convention 102 of 1952. C87 and C98 are freedom of association and collective bargaining - the two core Conventions India has not ratified. No. 202 is a Recommendation, not a Convention , which is what makes (d) a good distractor
6	c	Nine
7	c	Housing benefit is not one of the nine. Squalor is a Beveridge giant, but housing is not a C102 branch. Invalidity, survivors' and family benefit all are
8	b	Defined contribution - the input is fixed and the member takes the accumulation
9	a	Defined benefit - the output is fixed by formula. It is contributory, but that is not the test; the test is which end is fixed
10	c	70 , a fixed constant of the Scheme
11	b	8.33% to the pension, 3.67% to the provident fund . Check: $8.33 + 3.67 = 12.00$. The larger share goes to the pension, which is the way round candidates most often reverse
12	b	1.16% , to the Employees' Pension Scheme
13	c	8.25% for FY 2025-26, the third consecutive year at that rate
14	c	1976
15	b	The Family Pension Scheme, 1971
16	b	Nine Acts. The other figures are the Codes' other counts - Wages 4, IR 3, OSH 13, total 29 - which is why they appear as distractors

7.2 Level 2

Q	Ans	Explanation
17	b	The buyer knows his own risk better than the insurer, so the pool worsens, premiums rise and good risks exit - unravelling . (a) inverts it: insurers work hard to avoid the worst risks. (d) is predatory pricing, a different thing
18	c	Correlated risk . Pooling needs independent losses; a recession makes millions jobless at once, so no private book can absorb it. Adverse selection and moral hazard are present too, but the decisive reason is correlation
19	b	Myopia and present bias . Deduction at source removes the choice, which is the point
20	b	Family benefit - a periodic cash allowance for dependent children. India has none. The PDS and mid-day meal are in-kind nutrition and food security , not a family allowance
21	c	Unemployment . Not absent - there is an ESI allowance at 50%, plus lay-off and retrenchment compensation - but those are employer liabilities on dismissal, not insurance against joblessness . Distinguish "weak" (unemployment) from "absent" (family benefit)
22	d	Employer liability . Nothing is collected in advance and nothing invested
23	c	Employer liability - hence no contribution rate, and a 5-year continuous service condition rather than a contribution record
24	b	Mutually exclusive . The 1923 Act is very much alive - it governs workers outside ESI - so (a) is false

Q	Ans	Explanation
25	b	A Medical Board , with appeal to the Medical Appeal Tribunal and then the EI Court. Disablement is a medical question of degree, so doctors decide it first. The EI Court decides legal disputes
26	b	The ESI Act, 1948 - six of the nine. ESI is broad and shallow; EPF is narrow and deep
27	b	Schemes framed under the 1952 Act , which is an enabling Act. Calling EPS "the Act of 1995" is the commonest error in the module
28	c	A contribution record . Bismarck asks what you have contributed
29	b	Flat-rate and tax-financed . Beveridge asks whether you are a member of the society; (a) describes Bismarck
30	b	Preventive - insuring in advance against a known contingency. Promotional is generic uplift such as MGNREGA; protective is post-hoc relief such as an NSAP pension

7.3 Level 3

Q	Ans	Explanation
31	a	A-3 ESI; B-4 EPF and EPS; C-2 Employees' Compensation 1923 and ESI, the mutually exclusive pair; D-1 EDLI 1976. EPS also pays a widow's pension, but EDLI is the dedicated survivors' instrument here
32	b	2 and 3 only . Statement 1 is the classic misconception - only three branches are needed, with at least one from the harder group. That flexibility is why the Convention was ratifiable at all
33	b	Rs 7,500 . Service is 20 or more, so add the 2-year bonus first : $33 + 2 = 35$, then $(15,000 \times 35) \div 70 = \mathbf{7,500}$. Option (a) Rs 7,071 is the un-bonused answer and is the intended trap; (c) is 30 years; (d) is 37.5 years
34	a	Rs 3,214 . Service is below 20, so NO bonus : $(15,000 \times 15) \div 70 = 2,25,000 \div 70 = \mathbf{3,214}$. Option (b) Rs 3,643 is what wrongly adding 2 years gives - the mirror image of Q33. The bonus rewards 20 years or more; never apply it below that
35	a	2, 4, 1, 3 - ESI 1948 , Gratuity 1972 , EDLI 1976 , EPS 1995
36	c	(c) is false . A DC scheme cannot be underfunded - the benefit simply is the balance, whatever it is. Only a DB promise can fall short, which is why the EPS actuarial position is contested and the EPF's is not
37	a	1 and 2 only . Statement 3 is wrong: ESI is contributory on both sides - 0.75% employee plus 3.25% employer = 4% . The statute funded by the employer alone is the 1923 Act
38	d	Employer liability has no fund at all - its defining feature, and why the worker bears insolvency risk. An earmarked contributory fund describes social insurance
39	d	All three correct . The second and third share one principle: where employment is too fluid for a payroll levy, levy the project or platform instead of the wage
40	b	Entry 23 . Entry 24 is welfare of labour including provident funds - relevant, and usually cited with it - but the words "social security and social insurance" are in 23 . Entry 55 of the Union List is mines and oilfields
41	b	Guhan runs promotional (MGNREGA) - preventive (EPF) - protective (NSAP). (c) is wrong because Dreze and Sen use TWO categories, under which contributory schemes are protective - so check how many categories the question offers
42	b	Section 7-I to the CGIT as EPF Appellate Tribunal, 60 days extendable by 60, then Article 226 . Article 32 is confined to Fundamental Rights and the natural forum is the wider Article 226; the CBT is a governing body, not appellate; and a civil suit is barred where the statute provides its own remedy

8. One-Minute Revision

ONE-MINUTE REVISION · CHAPTER F3.1 - WHAT SOCIAL SECURITY IS

THE IDEA protects **ONE ASSET - the ability to work** · interruption is **temporary** (sickness, injury, maternity, lay-off), **permanent** (disablement, old age) or **transferred to the family** (death) · unpredictable for one, stable across millions = **insurable**

FIVE MARKET FAILURES ADVERSE SELECTION (bad risks buy most, pool **unravels** → cure **compulsory universal membership**) · **MYOPIA** (→ **deduction at source**) · **SAMARITAN'S DILEMMA** (rescue expected, so nobody saves) · **CORRELATED RISK** (a recession hits the whole book, so **only the State can carry unemployment risk**) · **POVERTY** (allocation **inverted relative to need**)

BISMARCK 1883 SICKNESS (contributory) · **1884 ACCIDENT** (employer alone) · **1889 OLD AGE** (+ **State subsidy**, age **70**) · motive: detach workers from socialism after the **1878 Anti-Socialist Laws** · **ESI 1948 mirrors 1883; Employees' Compensation 1923 mirrors 1884** · *who pays follows who is responsible*

BEVERIDGE 1942 WANT · DISEASE · IGNORANCE · SQUALOR · IDLENESS · assumptions **children's allowances + comprehensive health service + maintenance of employment** · principles **flat-rate benefit and contribution, unified administration, adequacy, comprehensiveness, classification** · "cradle to grave" → **National Insurance Act 1946, NHS 1948**

THE CONTRAST CONTRIBUTION RECORD vs CITIZENSHIP · PAYROLL vs TAXATION · EMPLOYED vs WHOLE POPULATION · EARNINGS-RELATED vs FLAT-RATE · AUTONOMOUS FUNDS vs UNIFIED STATE · INDIA IS NEITHER - a Bismarckian core (EPFO, ESIC) plus tax-financed assistance = TWO-TIER HYBRID

ILO 1919, Part XIII Treaty of Versailles · PHILADELPHIA 1944 - labour is not a commodity · C102 of 1952 = Social Security (Minimum Standards), accept ≥ 3 of 9, one from unemployment/old age/employment injury/invalidity/survivors' · R202 of 2012 = Social Protection Floors, a RECOMMENDATION · India ratified 6 of 8 core, NOT C87 and C98 · C102/C155/C187 = CONFIRM

THE NINE MEDICAL CARE · SICKNESS · UNEMPLOYMENT · OLD AGE · EMPLOYMENT INJURY · FAMILY · MATERNITY · INVALIDITY · SURVIVORS' · NOT in the list: housing, education, long-term care · temporary = SICKNESS · permanent + work = EMPLOYMENT INJURY · permanent + not work = INVALIDITY

THE INDIAN MAP medical care and sickness **ESI (70% for 91 days, 78 days qualifying)** · unemployment **WEAKEST - ESI 50%, ID Act payments are NOT insurance** · old age **EPF + EPS 1995 (10 yrs) + gratuity + APY/PM-SYM** · employment injury **ESI 90% (MEDICAL BOARD) OR EC 1923 - MUTUALLY EXCLUSIVE · FAMILY = NONE, the one unanswered branch** · maternity **26 weeks, MB 1961 or ESI 100%, NO STACKING** · invalidity **EPS disablement pension + ESI 90% · survivors' EDLI + EPS widow/children + ESI dependants' 90% + funeral Rs 15,000** **BACKWARDS ESI answers SIX of nine (broadest) · EPF Act THREE · EC 1923 ONE · GRATUITY NONE · ESI broad and shallow, EPF narrow and deep · EPF at 20 employees, ESI at 10** **FOUR ARCHITECTURES INSURANCE** (contribution record) · **ASSISTANCE** (need, means-tested) · **UNIVERSAL** (residence; **PM-JAY is TARGETED**) · **EMPLOYER LIABILITY - NO FUND, NO POOLING** (gratuity, EC 1923, MB 1961) · **four answers to "what if the employer cannot pay?" - insurance and assistance pay, EMPLOYER LIABILITY FAILS**

DC vs DB - WHICH END IS FIXED EPF = DC, member bears risk, interest 8.25% FY 2025-26, cannot be underfunded · EPS 1995 = DB, fund bears risk, CAN be underfunded - hence the higher-pension controversy

THE SPLIT employee 12% ALL to PF · employer 12% = 8.33% PENSION + 3.67% PF (8.33 + 3.67 = 12.00, larger to the pension) · EDLI 0.50% · admin 0.50% · Central Government 1.16% · ceiling Rs 15,000

THE FORMULA PENSION = (PENSIONABLE SALARY × PENSIONABLE SERVICE) ÷ 70 · vest at **10 years** · **+2 YEARS IF SERVICE ≥ 20** - inside the bracket, before dividing · **35 ÷ 70 = one half** · **15,000 × 35 ÷ 70 = Rs 7,500** · **33 yrs → 35 → Rs 7,500 NOT 7,071** · **15 yrs → NO bonus → Rs 3,214** · at exactly 20 the bonus APPLIES; contrast "in excess of six months" in the ID Act, where exactly six does NOT count

GUHAN PROMOTIONAL (MGNREGA, PDS) · **PREVENTIVE** (EPF, ESI) · **PROTECTIVE** (NSAP) - before, during, after · **DREZE-SEN use TWO and make contributory schemes PROTECTIVE - count the options first**

CHRONOLOGY 1923 EC (first) · **1948 ESI** · **1952 EPF** · **1961 Maternity** · **1972 Gratuity** · **1976 EDLI** · **1995 EPS** (replaced **FPS 1971**) · **2008 Unorganised Workers'** · **2020 Code (9 Acts, in force 21 Nov 2025)** · **1976 and 1995 are SCHEMES, not Acts** · visible risks answered first · **WHITLEY 1929-31** · **ADARKAR 1944 → ESI 1948**

THE GAP ~90% unorganised (precise figures **CONFIRM**) · a contributory scheme needs an identifiable employer, a measurable wage, a continuous relationship and a payroll - the unorganised worker has none, so exclusion is **STRUCTURAL** · **AGGREGATOR 1-2% OF TURNOVER, CAP 5% OF PAYMENTS** - the same device as the **1996 CONSTRUCTION CESS** of 1-2% of cost · registration attaches to the worker via **e-Shram (2021)** and the **UAN**

THE SPINE Karachi 1931 → Art 39/41/42/43 (Part IV, non-justiciable, **Art 37**) → **CONCURRENT ENTRY 23** social security and social insurance + **ENTRY 24** provident funds, with **Art 246 → EPF & MP Act 1952, ENABLING → 3 schemes + EPFO**, statutory, tripartite **CBT → "other authority" = "State" under Art 12 → s.7A bound by Art 14 + Art 21 (Maneka Gandhi) → s.7-I CGIT, 60 + 60 = 120 days → Art 226 certiorari**

9. Five-Minute Wall Sheet

FIVE-MINUTE WALL SHEET · CHAPTER F3.1 - WHAT SOCIAL SECURITY IS

PROTECTS ONE ASSET the ability to work

FIVE FAILURES ADVERSE SELECTION · MYOPIA · FREE RIDING · CORRELATED RISK · POVERTY

BISMARCK 1883 sickness · 1884 accident (employer alone) · 1889 old age

BEVERIDGE 1942 — WANT · DISEASE · IGNORANCE · SQUALOR · IDLENESS

CONTRIBUTION RECORD (Bismarck) vs CITIZENSHIP (Beveridge) — INDIA IS A HYBRID

C102 of 1952 — NINE BRANCHES, ACCEPT AT LEAST THREE

THE NINE medical care · sickness · unemployment · old age · employment injury · **family** · maternity · invalidity · survivors'

MISSING BRANCH = FAMILY BENEFIT · WEAKEST = UNEMPLOYMENT

temporary = SICKNESS · permanent + work = EMPLOYMENT INJURY · permanent + not work = INVALIDITY

ESI SIX of nine · **EPF THREE** · **EC 1923 ONE** · **GRATUITY NONE** · **EPF at 20, ESI at 10**

EMPLOYER LIABILITY = NO FUND, NO POOLING (gratuity, EC 1923, MB 1961)

EPF = DC, member bears risk · EPS 1995 = DB, fund bears risk

employee 12% all to PF · employer 12% = 8.33% PENSION + 3.67% PF · EDLI 0.50% · admin 0.50% · CG 1.16% · ceiling Rs 15,000 · interest 8.25%

PENSION = (PENSIONABLE SALARY × PENSIONABLE SERVICE) ÷ 70 · vest 10 yrs · +2 YRS IF ≥ 20

15,000 × 35 ÷ 70 = Rs 7,500 · 33 yrs → Rs 7,500 NOT 7,071 · 15 yrs → Rs 3,214

GUHAN: PROMOTIONAL · PREVENTIVE · PROTECTIVE — DREZE-SEN use TWO

1923 · 1948 · 1952 · 1961 · 1972 · 1976 · 1995 · 2008 · 2020 — 1976 and 1995 are SCHEMES

ADARKAR 1944 → ESI 1948 · WHITLEY 1929-31

~90% UNORGANISED — no employer, no wage, no continuity, no payroll = STRUCTURAL

AGGREGATOR 1-2% OF TURNOVER, CAP 5% — SAME DEVICE AS THE 1996 CONSTRUCTION CESS

ENTRY 23 social security · ENTRY 24 provident funds

SPINE Karachi 1931 → Art 39/41/42/43 → Entries 23 + 24 → **EPF Act 1952 (enabling)** → 3 schemes + EPFO → **Art 12 "State" → Art 14 + 21 → s.7-I CGIT 60 + 60 → Art 226 certiorari**

ACTION · NEXT IN MODULE 3

Chapter F3.2 - the EPF & MP Act, 1952, section by section. You now know why the Act exists, which contingencies it answers, that it is an **enabling** Act running a **DC** fund alongside a **DB** pension, and where it sits in the constitutional chain.

F3.2 reads the Act in its own order: **1(3)** coverage at **20**, **1(4)** voluntary coverage, **1(5)** **once covered, always covered**, the **s.2** definitions - including that "**employee**" **includes a person employed by or through a contractor** - **s.6** contributions, your own **s.7A** determination, **7B** review, **7C** escaped amounts, **7-I** appeal, **7Q** interest at **12%**, **14B** damages, **8** and **8F** recovery, **s.10** protection from attachment, **s.11** priority, and **s.17** exemption.

Carry one habit forward. For each section, ask which market failure it answers. Compulsory coverage in 1(3) answers **adverse selection**; deducting the employee's share answers **myopia**; and s.10's protection from attachment answers one this chapter implied - **a retirement saving creditors can seize is not a retirement saving at all.**